

Module 2

Course:

Corporate Finance

Post module assignment

23 – February – 2015

1. Stockholder Analysis: Who has the power and what are the potential conflicts of interest?

Background:

Skanska is one of the world's leading project development and construction groups, concentrated on selected home markets in the Nordic region, other European countries and in the U.S. Skanska was established in Sweden in 1887 and started manufacturing concrete products. It quickly diversified into a construction company and within 10 years the company received its first international order. The company played an important role in building Sweden's infrastructure including its roads, power plants, offices and housing.

Since 1950's, Skanska expanded to international markets, notably South America. In 1971, Skanska entered the US market which constitutes a good opportunity for the company where around 30% of its activity is concentrated compared to 25% in Sweden. The Company was made public in 1965 and was listed in Stockholm Stock Exchange.

In 2013, Skanska counted more than 57,000 employees with a market capitalization of 54 bn SEK.

Investors:

Main investors in Skanska are mainly:

- **Pension fund** "ALECTA" which owns 7.35% of the shares.
- Industrivarden AB which owns 4.84% of the shares**. Industrivarden is an active investor where active ownership role is exercised through board representation.**
- NORDEA BANK owns 4.24% of the shares. Nordea Bank is as well an **activist investor**.
- SWEDBANK ROBUR **mutual fund** Company that owns 3.29%.
- SEB Bank
- Lundbergs which owns 2.64% is an investment company that manages and develops a number of companies by being **an active, long term owner**.
- Skanska which owns 2.27% of its own companies
- AMF FORSAKRING which owns 2.18% is a **pension fund**.
- SHB FUNDS which owns 2.06% mainly a **short term investor**.
- The remaining of the top 17 investors are mainly banks and institutions.

There are a number of investors which is a mix between pension funds, mutual funds that are considered as passive investors, and their reaction to bad management of the firm is to sell their shares and invest somewhere else. However there are a certain number of activist investors that usually seek to change the way companies are run. The presence of these investors should therefore increase the power of all stockholders relative to managers. In this context, the managers can be accountable and can be removed if they make bad decisions.

Among the top 17 investors, there is a considerable number that are Swedish or from Nordic countries

2 series of shares for Skanska: Series A shares and series B shares.

Each Series A share carries 10 votes and each Series B share carries one vote. Series B shares are listed on the NASDAQ OMX Stockholm. The percentage of the shares in the Bloomberg packet represents the B shares only. Series A shares are held solely by 2 entities which own as well series B shares as shown above:

- Industrivarden AB with 12.667 million series A shares. Including both series of shares Industrivarden AB enjoys 24.6% of the voting rights.
- Lundbergs with 6.03 million series A shares. Including both series of shares Lundbergs enjoys 11.8% of the voting rights.

Alecta owns no series A shares but enjoys 5.5% of the voting rights. Swedbank Robur owns no series A shares but enjoys 2.2% of the voting rights. Highest voting rights by far, are therefore owned by the activist investors Industrivarden and Lundbergs.

An investor needs therefore to be aware that there is positive side that remains in the fact that activist investors are investing in the company and this gives assurance that the power of the shareholders is high compared to the one of the managers. Investor needs to be aware that the two activist investors have the big weight in terms of the voting rights which reduces the weights of other investors in decision making.

2. Risk and Return: How risky is your firm and what are its hurdle rates?

Risk Free Rate:

The risk-free rate we should use for our analysis of the Swedish Company Skanska should be in the same currency that Skanska's cash flow is estimated in. The cash-flow of Skanska is in Swedish Krona, the risk-free rate to be used is the Swedish Krona's risk-free rate.

Risk Free Rate = Local currency Government bond rate – Government Default Spread

The government bond rate has a default spread component in it in addition to the risk free rate. The Moody's rating for Sweden sovereign debt is Aaa. The Swedish government default spread is 0.00%; the risk-free rate is therefore the same as the government bond rate which is 0.9%.

The Swedish government is perceived to have no default risk; the risk-free rate is equal to the government bond rate. **The risk-free rate used for our analysis of Skanska is 0.9%**

Equity Risk Premium:

The conventional practice on ERP is to estimate an ERP based upon where the company is incorporated. In this project we will use the more sensible practice that estimates an ERP based upon where Skanska operates. As mentioned in the Bloomberg packet, the company's operation breakdown is as follows:

Country/Region	Skanska's Revenues	Proportion of Skanska's Revenues	ERP (Jan 2015)	Weighted ERP
United States	45.3 B SEK	31.68%	5.75 %	31.68%x5.75% = 1.82%
Sweden	34.3 B SEK	23.99%	5.75 %	23.99%x5.75% = 1.38%
Nordic Countries*	27.6 B SEK	19.30%	6.58 % *	19.30%x6.58% = 1.27%
Europe **	27.1 B SEK	18.95%	7.63 % **	18.95%x7.63% = 1.45%
Other *** (Latin America)	8.7 B SEK	6.08%	9.95 % ***	6.08%x9.95% = 0.61%
		100%		**ERP = 6.52%**

* Nordic Countries ERP: Denmark 5.75%; Finland 5.75%; Norway 5.75%; Iceland 9.05%. An overall ERP for Nordic countries based on Skanska's activities is estimated to 6.58%.

** Europe ERP: Poland 7.03%; Czech Republic 6.80%; Slovakia 7.03%; Hungary 9.50% ;Romania 9.05%; United Kingdom 6.35%. As per Skanska's annual report their activities are based in those European countries. An overall ERP for European countries based on Skanska's activities is estimated to 7.63%.

*** Latin America ERP: average ERP of whole Latin America is considered.

Top-down Beta:

The slope of the regression is the beta of the stock. As per Bloomberg packet beta=0.992 this means that Skanska moves quite closely to the Stockholm Stock Exchange. R^2 of the regression is 54.3% for Skanska is an estimate of the proportion of the risk that can be attributed to the market and is out of control of investors and managers. 45.7% of the risk is the firm specific risk. The Jensen's alpha by week is 0.186%, the annualized Jensen alpha is 10.14% which means than Skanska stock performed better than expected, as per CAPM, by 10.14% yearly over the regression period (2y).

The hurdle rate can therefore be calculated:

Hurdle Rate = Risk-free rate + beta (Risk Premium) = 0.9% + 0.992 x (6.52%) = 7.367%

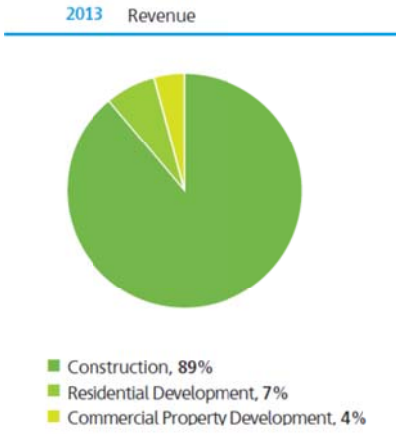
With 66.67% probability, Beta ranges from 0.9 to 1.08 making the E[r] ranging from 6.77% to 7.94%.

With 95% probability, Beta ranges from 0.81 to 1.17 making the E[r] ranging from 6.18% to 8.53%.

Bottom up Beta:

Beta unlevered:

Skanska has its major part of revenues generated by construction activities (89%) and only 11% by Residential and commercial property developments.



Enterprise Value/Sales = 0.67 and
β_u = 0.89 for construction business worldwide

Enterprise Value/Sales = 2.69 and
β_u = 0.78 for Real Estate worldwide

β_u for Skanska is therefore estimated to be 0.8523 as shown below:

Business	Revenues	EV/Sales	Estimated Value	Weight	Unlevered Beta
Engineering/Construction	SEK 127,270,000,000.00	0.6703	SEK 85,306,680,012.15	66.86%	0.8857
Real Estate (Development)	SEK 15,730,000,000.00	2.6879	SEK 42,281,086,057.50	33.14%	0.7850
Company	SEK 143,000,000,000.00		SEK 127,587,766,069.66		0.8523

Beta levered:

Current market value of equity for Skanska is 55.172 billion SEK. Market value of debt of 13.505 billion SEK in addition to the present value of lease payments of SEK2.305 billion will result in a total debt of 15.811 billion SEK. We estimate a bottom-up levered beta of 1.0429 for Skanska.

$$\beta_L = \beta_u (1 + ((1-t)D/E))$$

Book value of Debt	SEK	10,533,000,000
Interest expense	SEK	571,000,000
Average maturity of debt		7.923
Pre-tax cost of debt		1.60%
Market value of Debt	SEK	13,505,543,500
Lease debt (if any)	SEK	2,305,872,383
Market value of Equity	SEK	55,172,530,000
Market D/E ratio		28.66%
Marginal tax rate		22.00%
Bottom up unlevered Beta =		0.8523
Bottom up levered beta		**1.0429**

Considering a risk-free rate of 0.9% and a risk premium of 6.52%, the cost of equity is therefore estimated to be as follows:

Cost of Equity= 0.9% + 1.0429 (6.52%) = 7.7%

If we want to be focused to lower cost of equity, Skanska should work to bring its Beta β_L down:

- Skanska is mainly in engineering and Construction business, lowering its Beta unlevered of 0.8523 could be done considering that Skanska expends to other related safer businesses such as "building material business with β_U of 0.8, or go to "real estate operations and services" with β_U of 0.55. HOWEVER going to such businesses with lower betas might lower the revenues and this is not the best thing for equity investors.
- Reduce its debt which will make the equity less risky.

- Reduce its fixed costs by outsourcing or use more flexible wage contacts depending on how well the company is doing.
- Secure cash flow even going to riskier projects.

Debt to Capital Ratio	Debt to Equity Ratio	beta lev	Financial leverage
0.00%	0.00%	0.8523	0.00
10.00%	11.11%	0.9262	0.07
20.00%	25.00%	1.0186	0.17
22.23%	28.66%	1.0429	0.19
30.00%	42.86%	1.1373	0.29
40.00%	66.67%	1.2956	0.44
50.00%	100.00%	1.5172	0.66
60.00%	150.00%	1.8496	1.00
70.00%	233.33%	2.4036	1.55
80.00%	400.00%	3.5117	2.66
90.00%	900.00%	6.8358	5.98

Cost of Debt:

The coverage ratio EBIT divided by interest rate expenses is 8.33 (EBIT = 5,063.412 billion SEK; Interest expense with operating lease reclassified as debt = 607.893 million SEK)

A coverage ratio of 8.33 gives a bond rating of AA which results in an estimated company default spread of 0.70%. Sweden default spread being 0.0% will therefore give us an estimated pre-tax cost of debt equal to the risk free rate added to the estimated company default spread.

Pre-tax Cost of debt = 0.9% + 0.7% = 1.6%

Swedish marginal tax rate being 22.00%, after-tax cost of debt is equal to pre-tax cost of debt (1-22%):

After-tax cost of debt = 1.6% x (1 – 22%) = 1.248%

Cost of Capital:

The cost of Capital is therefore estimated as follows:

Cost of Capital=Cost of Equity x(E/(D+E))+after-tax Cost of debt x(D/(D+E))=7.7% x77.73 %+1.248% x22.27%

Cost of Capital = 5.984% + 0.278 = 6.26%

Cost of capital	
Equity component	*Skanska*
Market value of equity	SEK 55,172,530,000.00
Levered Beta	1.0429
Riskfree Rate	**0.90%**
Equity Risk Premium	6.52%
Cost of equity	7.7%
Debt component	
Market value of debt	SEK 15,811,415,882.93
Pre-tax cost of debt	1.60%
Marginal tax rate	22.00%
After-tax cost of debt	1.25%
Market Debt to capital ratio	22.27%
Cost of capital	**6.26%**

If book value weights have been used, the cost of capital would have been as follows:

- Book Value of equity = 21.339 billion SEK
- Book value of Debt + Lease + interest expense = 10.533 + 2.945 0.571 = 14.049 billion SEK

(Debt = 10.533 b SEK; Lease = 2.945 b SEK; Interest expense = 0.571 b SEK)

	D / E	D / (D+E)	E / (D+E)
Book value	65.8%	39.7%	60.3%
Market value	28.65%	22.27%	77.73%

If book value weights are used:

Cost of capital (based on BV) = 7.965% x 60.3% + 1.248% x 39.7% = 4.8% + 0.49%

Cost of capital (based on BV) = 5.29%

The cost of capital used should be based on market values due to the fact that cost of capital is a forward-looking measure and captures the cost of raising new funds to finance projects. New debt and equity has to be raised in the market at prevailing prices, the market value weights are more relevant. For Skanska the Cost of Equity based on book value is below than the one calculated based on market value which is normal considering that Skanska is in developed market, whereas cost of debt between book value and market value is close.

3. Investments: How good are existing investments and what is the potential for the future?

Skanska's typical investment varies from medium to long term (residential development, commercial development and infrastructure development). While we do not have the breakdown of Skanska's project returns by division, we can measure Skanska's return on capital as a firm. In 2012, Skanska earned 5,063.412 million SEK as pre-tax operating income on a book value of capital invested of 26,991.872 million SEK (estimated as the book value of debt and equity + lease - Cash). The after-tax return on capital based upon these numbers is 13.29%.

Operating income	SEK 5,063,412,762
Invested capital end of last year=	SEK 26,991,872,383
Pre-tax Return on invested capital =	18.76%
After-tax Return on invested capital (marginal tax rate) =	14.63%
Effective tax rate	29.15%
After-tax Return on invested capital (effectivel tax rate) =	13.29%

- With after tax (marginal tax rate) return on invested Capital of 14.63% and relative to the cost of capital of 6.47%, Skanska seems to be earning excess returns of 8.16%.
- With after tax (effective tax rate) return on invested Capital of 13.29% and relative to the cost of capital of 6.47%, Skanska seems to be earning excess returns of 6.82%.

With a return on equity of 19.45% considering that Shareholders equity at the end of 2012 was 19,353.00 million SEK and net income was 3,765.00 million SEK, the return on equity spread is 11.75% considering the Cost of Equity = 7.97%.

Skanska has a positive Economic Value Added to equity as well as a positive EVA to Capital:

- EVA to equity = (19.45% - 7.97%) x 19,353.00 = 2,223.213 million SEK
- EVA to capital = (14.63% - 6.47%) x 26,991.872 = 2,203.061 million SEK

This may also help explain why Skanska's stock is a good investment when it earned 10.14% (Jensen's alpha) more than expected each year on the last 2 years.

Skanska needs to take advantage of the cash flow generated by construction operations by investing in project development (Property and commercial developments). This step might lower the beta of the firm. This is why Skanska should look more to boarder international activities and projects where it could compensate the low return due to low beta by riskier projects and higher returns. Skanska should look to make benefit of its core business by proposing BOT (Build Operate Transfer) schemes to its domestic market and European market which will ensure cash flow from concession activities on a long term basis. Therefore Skanska needs to take long term floating-rate debts in currencies depending on projects implementations.

4. Capital Structure Choices: What are the current financing choices?

The Current capital structure of Skanska is 77.73% Equity and 22.27% debt. Below the factors in the trade off on borrowing:

Factor	Skanska
Tax Benefit	Debt depends on the marginal tax rate of the country you are in. Regarding Sweden, the Swedish marginal tax rate (22%) is slightly below the average marginal tax rate of 22.95% around the world, and slightly below the median value of 25% of countries worldwide. Median is important to compare to since statistically we have extreme value of marginal tax rates (0% to 55%). Swedish marginal tax rate is not among the top 50% worldwide. Since marginal tax rate is not considered to be so high, the benefits from debt are of a less magnitude for Skanska than for companies in other countries.
Added Discipline	As sown earlier, Skanska is a firm that has 16 institutional investors out of 17 (the 17th is Skanska itself). Among these investors 2 or three are activist investors which have a long term position in the firm. In addition voting rights are mainly held by 2 activist investors. Obviously adding debt to the company will add more discipline with regards to some flops the firms could do, however Skanska is considered to be a firm where stockholders have high acceptable control level. Skanska could however gain from using more debt in case this reduces significantly its cost of capital.
Bankruptcy Risk	Construction projects (unless some exceptions) last usually 2 to 5 years. Signing construction project contracts will ensure a certain cash flow for the company for a medium term. On a medium term earnings are somehow stable. Therefore, bankruptcy risk should be low. Two factors can even bring lower the bankruptcy risk: 1. Ensuring a long term cash flow from airports or highways concession for example will allow Skanska to have a long term stable cash flow that will compensate the low activity in a low cycle. 2. Try to go broader on the international market and sign construction project contracts in developing countries. This would spare Skanska from any low activities construction cycle in developed countries and ensure even more stable cash flow. Stable earnings will therefore allow Skanska to have the flexibility to borrow more money. The reputation of a 130 years old company has an considerable social bankruptcy cost specially in one of the most developed countries in the world like Sweden where the accountability is very high in general.
Agency Costs	The agency cost for Skanska should be relatively low since lenders can monitor and control how their money is being used which increases the ability of Skanska to borrow. In addition to this, very few of Skanska's assets are intangible, (investments are done in construction, commercial developments and infrastructures) and this makes the company easier to monitor. The agency cost would therefore be relatively low.
Future Flexibility	Skanska is a well-established and mature company with known investment needs. Construction business is quite stable and predictable and future investments are relatively clear. Therefore in case of more debt, Skanska will give up a little of bit flexibility but should be able to borrow more.

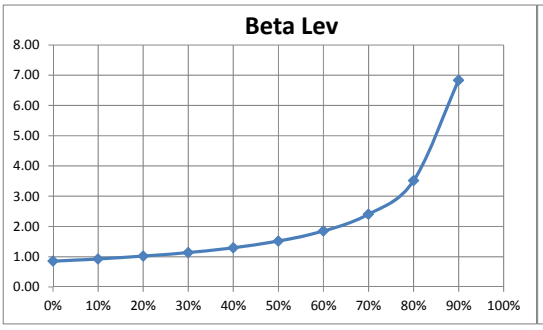
From the qualitative point of view, Skanska is a company that can borrow more due to the several factors above unless that the debt will not help it taking much tax benefit. Below, the quantitative study will be done based on varying debt ratio to Capital to see its effect on the cost of capital.

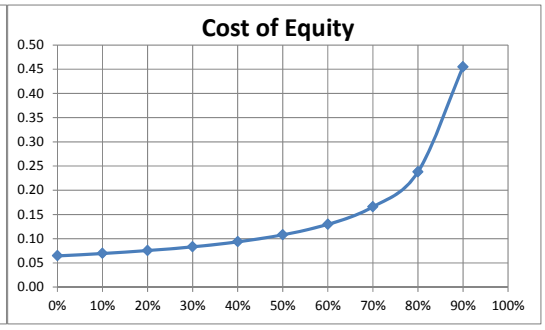
5. Optimal Financing: What is the optimal mix of debt and equity for the firm?

The Current capital structure of Skanska is 77.73% Equity and 22.27% debt. Below we will find the best mix of debt and equity by varying Debt to Capital ratio.

When Debt goes up leveraged beta will go up since it is proportional to D/E. The cost of equity will therefore go up as well.

Debt to Capital Ratio	Debt to Equity Ratio	beta lev	Cost of equity
0.00%	0.00%	0.8523	6.46%
10.00%	11.11%	0.9262	6.94%
20.00%	25.00%	1.0186	7.54%
22.23%	28.66%	1.0429	7.70%
30.00%	42.86%	1.1373	8.32%
40.00%	66.67%	1.2956	9.35%
50.00%	100.00%	1.5172	10.79%
60.00%	150.00%	1.8496	12.96%
70.00%	233.33%	2.4036	16.57%
80.00%	400.00%	3.5117	23.80%
90.00%	900.00%	6.8358	45.47%





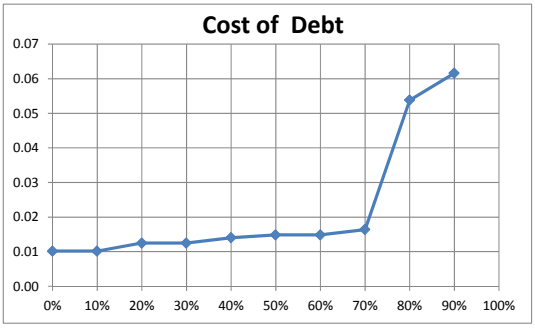
We need to check the effect of higher Debt on the cost of Debt. Obviously we would imagine that by increasing debt the rating of the company will change starting from a certain level and the banks will charge higher interest rates for borrowing.

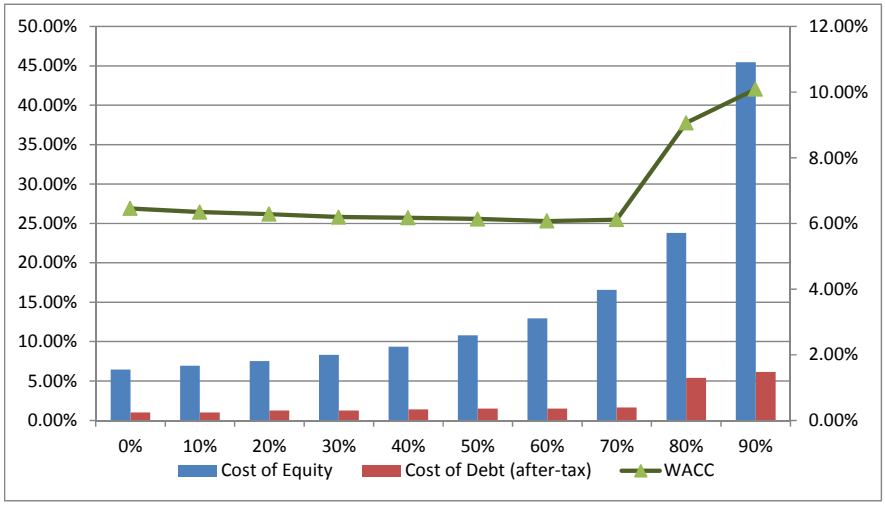
It is to be noted that EBITDA, depreciation and EBIT don't change since the money borrowed is not used to finance projects; it is used to reduce equity. This is what we call the capitalization process where operating numbers don't change.

Higher interest from bank will start to change interest coverage ratio which in its turn will change the rating of the company changing the interest rates and so on.

Estimate the cost of capital at different debt to capital ratios will allow us to choose the lower cost of capital.

Debt Ratio	Bond Rating	Interest rate on debt	Tax Rate	Cost of Debt (after-tax)	WACC
0%	Aaa/AAA	1.30%	22.00%	1.0140%	6.46%
10%	Aaa/AAA	1.30%	22.00%	1.0140%	6.35%
20%	Aa2/AA	1.60%	22.00%	1.2480%	6.28%
30%	Aa2/AA	1.60%	22.00%	1.2480%	6.19%
40%	A1/A+	1.80%	22.00%	1.4040%	6.17%
50%	A2/A	1.90%	22.00%	1.4820%	6.14%
60%	A2/A	1.90%	22.00%	1.48%	6.07%
70%	A3/A-	2.10%	22.00%	1.64%	6.12%
80%	B3/B-	6.90%	22.00%	5.38%	9.06%
90%	Caa/CCC	7.90%	22.00%	6.16%	10.09%





The optimal mix in terms of debt and equity for Skanska corresponds to a debt ratio of 60% which will bring the WACC down to 6.07%. With a cost of capital of 6.07%, the value of Skanska can be expected to increase by about 1,919.69 million SEK (3%) and its stock price to increase by around 4.8 SEK.

RESULTS FROM ANALYSIS			
	Current	*Optimal*	*Change*
D/(D+E) Ratio =	22.27%	60.00%	37.73%
Beta for the Stock =	1.042873013	1.85	0.81
Cost of Equity =	7.70%	12.96%	5.26%
Rating on Debt	Not rated		
After-tax cost of Debt =	1.25%	1.48%	0.23%
WACC	6.26%	6.07%	-0.19%
Implied Growth Rate =	-0.22%		
Enterprise value	SEK 63,713,945,882.93	SEK 65,633,639,009.77	SEK 1,919,693,126.84
Value/share (Perpetual Growth) =	SEK 137.93	SEK 142.73	SEK 4.80

6. Financing Changes: Should firm move to optimal and what type of debt should it use?

If Skanska increase its debt to a 60% debt ratio, its cost of capital will be brought to a minimum. A Debt to capital ratio of 60% will bring beta leveraged to 1.8496, increasing the cost of equity to 12.96%.

At a debt to Capital ratio of 60%, the cost of capital is brought to its minimum for Skanska to be at 6.07%. Skanska is a firm that has significant excess debt capacity since it can go from 22.23% to 60% of debt to capital ratio (change of 37.7%). It is to be noted that Skanska's 22.23% remains very close to the Debt to capital ratio of Engineering/construction sector of 21.45% and below the real estate ratio of 31.23%.

However, at 60% debt ratio, Skanska will see its rating change from current Aa2/AA corresponding to an interest rate on debt of 1.60% to A1/A+ corresponding to debt ratio of 40% and an interest rate on debt of 1.8% to reach a rating of A2/A corresponding to debt ratio of 60% and an interest rate on debt of 1.9%.

Given the quality of its projects (high EVA shown above), it is not recommended to increase the debt ratio due to the low increase in company value as shown previously. We do not believe that Skanska is a potential takeover target, because of its market capitalization and its positive stock

price performance (Positive Jensen's alpha). We would recommend that Skanska use its debt capacity to invest in new projects and expand its businesses. Given the time aspect of construction and real estate projects (3-5 years mainly), it is recommended that Skanska take debts corresponding to its new projects and in the local currency where investments for the projects are done.

Skanska could however, for reasons related to unknown takeover threat by us, choose to use a small part of its debt capacity that would not impact much its rating and therefore its interest rate on debt. Using a part of its debt capacity, up to 25-30% Debt to capital ratio, will allow Skanska to keep its financial flexibility and to still have a reserve of debt capacity. It is not recommended that Skanska goes above this level since the gain in terms of WACC is small as we can see in the diagram of WACC above. It is not recommended, in no way, that Skanska could bring its ratio to the threshold of 60% debt to capital ratio where the cost of debt will start to increase significantly as well as WACC and Cost of equity. However a low debt to capital ratio is a factor that might predict a takeover since the acquisitions could be financed at least partially by the target firm's unused debt capacity. Skanska could therefore choose to increase its debt ratio to meet the 25-30% debt ratio to protect itself more from potential takeovers. Skanska, whose 11% of its revenues are coming from Real Estate, will still have a lower debt ratio than the Real Estate sector one of 31.23%.

7. Dividend Policy: How much and how does the firm return cash to stockholders?

Skanska return cash to its shareholders through dividends.
For 2013, Skanska AB had the capacity to pay out 40‑70 percent of net profit for the year as dividends to the shareholders, provided that the Company's overall financial situation is stable and satisfactory. For more than ten years, Skanska has delivered an increased or unchanged ordinary dividend to its shareholders.

Here below a table showing the net income, total dividends, dividends per share, dividend payouts and dividend yields for the last 7 years:

	Net Income	Total Dividends	Number of Shares	Dividend per share	Dividend payout	Dividend yield
2013	SEK 3,765,000,000	SEK 2,470,000,000	399,980,000	SEK 6.18	65.60%	4.80%
2012	SEK 2,853,000,000	SEK 2,471,000,000	399,960,000	SEK 6.18	86.61%	5.60%
2011	SEK 7,589,000,000	SEK 4,945,000,000	399,930,000	SEK 12.36	65.16%	5.30%
2010	SEK 4,022,000,000	SEK 2,582,000,000	399,380,000	SEK 6.47	64.20%	9.00%
2009	SEK 4,216,000,000	SEK 2,185,000,000	399,010,000	SEK 5.48	51.83%	5.10%
2008	SEK 3,102,000,000	SEK 3,448,000,000	396,090,000	SEK 8.71	111.15%	6.80%
2007	SEK 4,096,000,000	SEK 3,456,000,000	396,090,000	SEK 8.73	84.38%	6.80%

As of 2014-09-30, Skanska had cash and equivalent of 10,730.0 million SEK, 30% higher than 2013 and 100% higher than in 2012. It is recommended that Skanska continue to return cash to its shareholders through dividends in the same way as last years.

Dividend income from Swedish shares is taxed as income from capital at a flat 30% rate. Considering this, Skanska could continue to pay dividends to its shareholders.
It is to be reminded that the biggest investor in Skanska is ALECTA pension fund that would be highly favorable of maximizing the dividends since ALECTA needs the cash.

8. Dividend Assessment: Should the firm return more or less cash to stockholders?

In order to study this question we will evaluate what the company has returned to its shareholders for the last seven years. Dividends will be compared to free cash flow to equity.

Free Cash Flow to equity is the amount of cash left in the company after non-equity claimholders have been paid and after any reinvestment needed to sustain the firm's assets and future growth. The followings are added to the Net income in order to come to the FCF to equity:

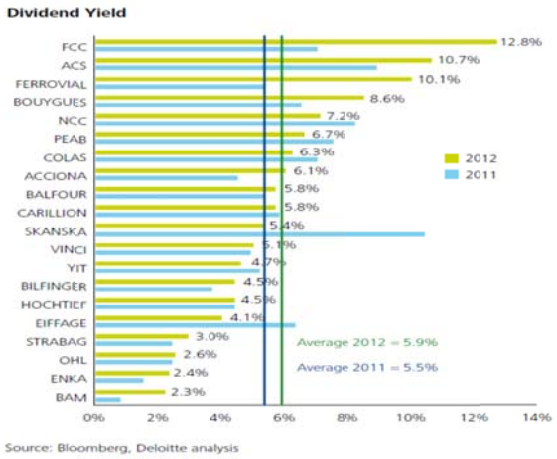
Net Income + Depreciation & amortization - Preferred dividends - Capital expenditure - Working capital needs –principal repayments + proceeds from new debt issues. This needs to be compared with the amount of dividends.

	2013	2012	2011	2010	2009	2008	2007	Aggregate
Net Income	SEK 3,765,000,000	SEK 2,853,000,000	SEK 7,589,000,000	SEK 4,022,000,000	SEK 4,216,000,000	SEK 3,102,000,000	SEK 4,096,000,000	SEK 29,643,000,000
- (Cap. Exp - Depr)	SEK 42,000,000	SEK 1,510,000,000	SEK 1,801,000,000	SEK 723,000,000	SEK 241,000,000	SEK 1,227,000,000	SEK 695,000,000	SEK 6,239,000,000
- ∂ Working Capital	-SEK 3,278,000,000	SEK 2,124,000,000	SEK 1,329,000,000	-SEK 3,351,000,000	-SEK 3,075,000,000	SEK 1,067,000,000	-SEK 5,905,000,000	-SEK 11,089,000,000
Free CF to Equity (pre-debt)	SEK 7,001,000,000	-SEK 781,000,000	SEK 4,459,000,000	SEK 6,650,000,000	SEK 7,050,000,000	SEK 808,000,000	SEK 9,306,000,000	SEK 34,493,000,000
+ Net Debt Issued	SEK 1,425,000,000	SEK 5,765,000,000	SEK 3,443,000,000	SEK 473,000,000	SEK 1,333,000,000	SEK 295,000,000	SEK 595,000,000	SEK 13,329,000,000
= Free CF to Equity (actual debt)	SEK 8,426,000,000	SEK 4,984,000,000	SEK 7,902,000,000	SEK 7,123,000,000	SEK 8,383,000,000	SEK 1,103,000,000	SEK 9,901,000,000	SEK 47,822,000,000
Free CF to Equity (target debt ratio)	SEK 6,281,637,200	SEK 26,838,200	SEK 5,154,799,000	SEK 6,065,795,600	SEK 6,420,001,800	SEK 1,317,956,200	SEK 8,147,817,000	SEK 33,414,845,000
Dividends	SEK 2,470,000,000	SEK 2,471,000,000	SEK 4,945,000,000	SEK 2,582,000,000	SEK 2,185,000,000	SEK 3,448,000,000	SEK 3,456,000,000	SEK 21,557,000,000
+ Equity Repurchases	SEK -	SEK -	SEK -	SEK -	SEK -	SEK -	SEK -	
= Cash to Stockholders	SEK 2,470,000,000	SEK 2,471,000,000	SEK 4,945,000,000	SEK 2,582,000,000	SEK 2,185,000,000	SEK 3,448,000,000	SEK 3,456,000,000	SEK 21,557,000,000
Dividend Ratios								
Payout Ratio	65.60%	86.61%	65.16%	64.20%	51.83%	111.15%	84.38%	72.72%
Cash Paid as % of FCFE	29.31%	49.58%	62.58%	36.25%	26.06%	312.60%	34.91%	45.08%
FCFE-Dividends	SEK 5,956,000,000	SEK 2,513,000,000	SEK 2,957,000,000	SEK 4,541,000,000	SEK 6,198,000,000	-SEK 2,345,000,000	SEK 6,445,000,000	SEK 26,265,000,000

This shows that for 7 years, Skanska had returned to the shareholders the average of 45.08% represented in dividends out of the Free Cash Flow to equity available in the company. Skanska could have returned more in terms of dividends.

The question is that do we trust managers of the company to keep this amount in the company. Due to the fact that we have activist investors involved in the company, managers are properly controlled and we think that the decisions are properly taken.

We believe Skanska had the capacity to return more money to its shareholders. Skanska's dividend yield was around 6.2% as an average which is normal return compared to the European construction companies in average.



Source: Bloomberg, Deloitte analysis

9. Valuation (optional): What value would you attach to the firm and its equity?

The present values of the free cash flows to the firm and the present value of the terminal value are computed, and the sum is reported below:

Value of Skanska = 103,980.35 million SEK

Value of operating assets =	SEK	103,980,349,862
- Debt	SEK	12,838,872,383
- Minority interests	SEK	162,000,000
+ Cash	SEK	7,271,000,000
+ Non-operating assets	SEK	-
Value of equity	SEK	98,250,477,478

If we subtract out the market value of existing debt of 12,838 million SEK and minority interest adding back the cash from this firm value, we arrive at the value of equity for Skanska to be 98,250 million SEK. The value of equity per share is computed by dividing by the number of shares outstanding:
Value of Equity per Share = 98,250/ 398.98 = 245.64 SEK
Thus, the valuation suggests that Skanska was undervalued at 168.60 SEK per share.

	High Growth Phase	*Transition Phase*	*Stable Growth Phase*
Length of Period	5 years	5 years	Forever after 10 years
Revenues	Current Revenues: 136,488 million SEK; Expected to grow at 5.5% per year	Continues to grow at an intermediate rate between 5.5% and risk free rate	Grows at stable growth rate equal to rf=0.9%
Pre-tax Operating Margin	3.81% increase gradually to reach 4.6% which is the industry average after 10 years.	3.81% increase gradually to reach 4.6% which is the industry average after 10 years.	Stable margin is assumed to be 4.6%.
Tax Rate	29.15%	Transition between 29.15% and 22%	22%
Return on Capital	13.7% increasing to 14.37%	14.85% increasing to 17%	Stable ROC of 5.4
Reinvestment Rate (Net Cap Ex + Working Capital Investments/EBIT)	44% of after-tax operating income; decreasing gradually to reach 40.86% in year 5.	40.86% in year 5 decreasing to 5.81%in years 10	16.67%
Expected Growth Rate in EBIT	Decline from 7.68% to 7.52% in year 5	Decline from 7.52% in year 5 to 2.66% in year 10	0.9%